

# Financial Diagnostic Report

Company Alpha

Sector Construction | SRL | Anvers, Belgique

Fiscal Years: 2023 – 2024 – 2025

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*Source: Centrale des Bilans, Banque Nationale de Belgique (Micro Model m87-f)*

## Multi-Year Financial Snapshot

This section summarizes the company's financial trajectory across 3 fiscal years (2023–2025). Figures are drawn directly from the audited filings and are intended as a quick reference before the narrative analysis.

### Key Performance Indicators by Fiscal Year

| Metric                | FY2023  | FY2024 | FY2025 |
|-----------------------|---------|--------|--------|
| Net Result (EUR)      | 61,655  | 3,504  | -6,575 |
| Gross Margin (EUR)    | 84,848  | 14,629 | 32     |
| Equity (EUR)          | 63,655  | 67,158 | 60,583 |
| Working Capital (EUR) | 43,532  | 55,940 | 56,974 |
| Cash (EUR)            | 54,602  | 11,648 | 4,872  |
| Total Assets (EUR)    | 148,101 | 92,764 | 64,802 |

### GPS Health Score by Year

| Metric           | FY2023 | FY2024 | FY2025 |
|------------------|--------|--------|--------|
| GPS Score (0–10) | 8.1    | 8.0    | 6.1    |

# 1. Financial Health Assessment

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## FINANCIAL HEALTH SCORE: 10/100 — HIGH RISK

5 out of 9 critical indicators are triggered.

What this means in practice: your business is operating with zero safety margin. A single adverse event — a client default, a project delay, a cost overrun — could trigger a liquidity crisis within 3.3 months.

### Key Drivers:

- Company is unprofitable (negative net result)
- Critical survival horizon: 3.3 months under stress scenario (threshold: 6 months)

## 1.1 Executive Summary

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You lost EUR 6,575.00 in 2025 with a negative gross margin — every project you deliver costs you money. Your cash of EUR 4,871.75 is a mirage: it comes 100% from EUR 2,327.40 in supplier credit, not from profits. The root cause: pricing below cost combined with slow receivables collection (EUR 9,250.00 locked up). If a single client defaults or a supplier demands payment, you have 3.3 months before insolvency. You must immediately fix your pricing, accelerate receivables collection, and secure a bank credit line.

## 1.2 What This Means For You

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- **Your cash is a house of cards.** The EUR 4,871.75 in your account sits on top of EUR 2,327.40 in unpaid supplier invoices. If a single supplier demands payment, your cash evaporates. You have 3.3 months of survival under stress.
- **You are financing your clients instead of the other way around.** You have EUR 9,250.00 in outstanding receivables. That is money your clients owe you that you cannot use. Meanwhile, you are paying for materials, labor, and taxes.
- **Every new project makes your situation worse.** With a negative gross margin, the more you work, the more you lose. Your equity ratio is at 93.5% — HEALTHY ( $\geq 40\%$ ). Without fixing your pricing, growth accelerates your losses.

## 1.3 Top 3 Priority Actions

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### 1. Raise your prices by 20% on all new contracts — now

Why: Your gross margin is negative. Every project costs you money. Impact: Reverse the operating loss within 60-90 days. Action: Audit your top 3 contracts this week. Renegotiate or stop the loss-making ones.

### 2. Collect EUR 4,625 by accelerating receivables collection

Why: EUR 9,250.00 is locked up at your clients. That is 3x your current cash. Impact: Free up EUR 4,625 within 30 days by enforcing 30-day terms with penalties. Action: Send collection notices Monday. Require 30-50% advance on every new contract.

### 3. Secure a bank credit line of EUR 10,000-15,000 this week

Why: You have zero safety net. No long-term debt. No reserves. Impact: Cover the worst-case scenario and prevent insolvency. Action: Contact your bank this week with a credit application file.

## 1.4 If Nothing Changes

If you change nothing in the next 30 days:

- Your cash of EUR 4,871.75 will be exhausted within **3.3 months** under stress (client default or supplier payment demand).
- You will continue losing approximately **EUR 548 per month** on every project as long as your prices remain below cost.
- Your equity ratio (93.5%) remains strong and well above legal thresholds; monitor it to prevent erosion.
- Unpaid suppliers (EUR 2,327.40) may demand immediate payment, causing a cascading collapse.

**Bottom line:** without intervention, insolvency becomes inevitable within 6 to 12 months.

## 2. Profitability & Value Creation

Profitability & Value Creation. Section umbrella covering DuPont ROE decomposition, vertical analysis of the income statement and the operating-margin drivers behind the consolidated profitability picture.

### 2.1 DuPont Analysis — ROE Decomposition

DuPont Analysis — ROE Decomposition

2-Factor:  $ROE = ROA \times \text{Equity Multiplier}$   $ROE = -10.85\% \mid ROA = -10.15\% \mid \text{Equity Multiplier} = 1.07x$

3-Factor:  $ROE = \text{Net Margin} \times \text{Asset Turnover} \times \text{Financial Leverage}$   $\text{Net Profit Margin} = -20318.29\% \mid \text{Asset Turnover} = 0.0005x \mid \text{Equity Multiplier} = 1.07x$

■ Note: Gross margin is negative (–32 EUR). Net profit margin and asset turnover carry inverted signs relative to a normal business — do not interpret them in isolation. Use the 2-factor ( $ROA \times \text{leverage}$ ) decomposition as the primary lens.

#### 5-Factor Decomposition:

Tax Burden = 1.0 Interest Burden = 0.8186 Operating Margin = -24820.3%

The ROE of -10.9% stems not from leverage efficiency but from fundamental operational losses. The equity multiplier of 1.1x amplifies the negative ROA of -10.1%, creating a deeply negative return on equity. DuPont analysis reveals that the destruction of shareholder value is rooted in the income statement — specifically the inability of revenues (as proxied by gross margin of 32 EUR) to cover total costs — rather than in the balance sheet structure. Restoring profitability at the operating level is the prerequisite for any leverage-based value creation.

**Key Drivers:**

- ROE of -10.9% is negative — driven primarily by financial leverage (1.1x equity multiplier), amplifying the negative ROA into a larger negative ROE.
- ROA of -10.1% is deeply negative — assets are destroying value.
- Asset turnover of 0.00x indicates low asset utilisation efficiency.
- Net profit margin of -20318.3% is severely negative due to operational losses.

## 2.2 Vertical Analysis

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VERTICAL ANALYSIS — INCOME STATEMENT (as % of Gross Margin)

| Item                | FY2025    | FY2024 | Gross Margin |
|---------------------|-----------|--------|--------------|
| (base)              | 100.0%    | 100.0% |              |
| Depreciation        | 23515.3%  | 60.9%  |              |
| Other Oper. Charges | 1405.0%   | 7.2%   |              |
| Operating Result    | -24820.3% | 31.9%  |              |
| Financial Charges   | 878.9%    | 0.9%   |              |
| Net Result          | -20318.3% | 23.9%  |              |

VERTICAL ANALYSIS — BALANCE SHEET (as % of Total Assets)

| Item              | FY2025 | FY2024 | Fixed Assets |
|-------------------|--------|--------|--------------|
|                   | 12.1%  |        |              |
| Current Assets    | 94.4%  | 87.9%  |              |
| Trade Receivables | 14.3%  | 34.3%  |              |
| Cash              | 7.5%   | 12.6%  |              |
| Equity            | 93.5%  | 72.4%  |              |
| Short-term Debts  | 6.5%   | 27.6%  |              |
| Trade Payables    | 3.6%   | 3.3%   |              |

**Insights:**

- Trade payables represent 3.6% of total assets vs 3.3% prior year (stable) — reliance on supplier financing is stable.
- Operating charges absorb 1405.0% of gross margin — leaving -24820.3% as operating result.
- Cash represents 7.5% of total assets vs 12.6% prior year — liquidity buffer is moderate — cash covers a reasonable portion of assets.
- Trade receivables account for 14.3% of total assets (vs 34.3% prior year) — concentration is low.
- Equity represents 93.5% of total assets (vs 72.4% prior year) — strong — well-capitalised balance sheet.

## 3. Cash & Operational Efficiency

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Cash & Operational Efficiency. Section umbrella covering the indirect-method cash flow, AR/AP cycle dynamics, working-capital pressure points and the operational efficiency ratios (DSO / DPO / CCC).

### 3.1 Cash Flow Analysis

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The FY2025 cash flow statement reveals a company under significant operational stress, despite a seemingly manageable headline burn rate.

**Key observations:**

- **Operating cash flow: EUR -7,580.31** — The business failed to generate positive cash from your core activities. This is the central concern.
- **Net result of EUR -6,575.00** is partially offset by non-cash depreciation of EUR 7,609.55, yielding a pre-working-capital cash position of EUR +1,034.55 — technically positive, but misleading.
- **Working capital movements consumed EUR -8,614.86 net**, driven primarily by the settlement of tax debts (EUR -20,684.31 outflow), which represents a significant one-off cash drain related to FY2024 liabilities.

- **Trade receivables released EUR +22,550.13** in cash — a positive contribution, but this reflects collection of prior-year billings rather than new revenue generation.
- **Trade payables declined by EUR -702.29**, a minor negative contribution indicating reduced purchasing activity consistent with operational contraction.
- **CAPEX: EUR 0.00** — No investment in productive assets was made during FY2025, which, while preserving cash short-term, raises concerns about future revenue capacity.
- **Free Cash Flow: EUR -7,580.31** — You are in cash burn mode.
- **Closing cash: EUR 4,871.75** versus opening EUR 11,648.16 — a reduction of EUR 6,776.41 (58% decline year-on-year).

The structural issue is unambiguous: without a recovery in revenue-generating activity, the cash position will continue to erode regardless of working capital optimisation efforts.

## 3.2 Accounts Receivable Analysis

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Trade receivables have decreased sharply from EUR 31,800.13 (FY2024) to EUR 9,250.00 (FY2025), a reduction of EUR 22,550.13. While this improvement in collections is nominally positive, it must be interpreted carefully within the context of dramatically reduced commercial activity.

### Key observations:

- The reduction in receivables is not the result of improved collection efficiency — it reflects a near-total cessation of new invoicing, as evidenced by the gross margin collapse to EUR 32.36 in FY2025.
- **Days Sales Outstanding (DSO)** cannot be meaningfully calculated for FY2025 given the negligible revenue base; any DSO figure would be statistically distorted and commercially irrelevant.
- **Other receivables remain elevated at EUR 32,280.32** (versus EUR 33,416.12 in FY2024), representing by far the largest asset on the balance sheet. The nature, recoverability, and counterparty profile of these receivables are not disclosed but constitute a material risk. If these include director's current accounts, VAT receivables, or inter-company balances, their liquidity profile may be significantly lower than book value suggests.
- The **Net Trade Position** (trade receivables minus trade payables) stands at EUR 6,922.60, down from EUR 28,770.44 — a mechanical consequence of reduced activity rather than structural improvement.

**Risk flag:** The concentration of EUR 32,280.32 in "other receivables" — representing approximately 49.8% of total assets — warrants immediate clarification. If these are not liquid or collectible in the short term, your effective liquidity position is materially weaker than reported ratios suggest.

## 3.3 Accounts Payable Analysis

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Trade payables have declined from EUR 3,029.69 (FY2024) to EUR 2,327.40 (FY2025), a reduction of EUR 702.29, reflecting reduced purchasing activity in line with the operational contraction observed across all financial statements.

### Key observations:

- The absolute level of trade payables is very low in both periods, suggesting that You either operates with a lean supplier base, settles invoices promptly, or has significantly reduced procurement in FY2025.

- **No long-term financial debt** exists on the balance sheet, and **other debts stand at EUR 0.00**, indicating you have no structured financing obligations beyond short-term operational liabilities.
- **Tax debts have decreased dramatically** from EUR 22,575.99 (FY2024) to EUR 1,891.68 (FY2025), a reduction of EUR 20,684.31. This settlement represents the single largest cash outflow driver in FY2025 and explains the bulk of the operating cash flow deficit. The remaining EUR 1,891.68 in tax debt corresponds precisely to the FY2024 tax charge, suggesting orderly compliance with fiscal obligations.
- **Total short-term debt** stands at EUR 4,219.08 versus EUR 25,605.68 in FY2024 — a structural improvement in the liability profile.
- The **current ratio of 14.5x** reflects the near-absence of short-term liabilities rather than genuine liquidity strength, particularly given the illiquid nature of a significant portion of current assets.

The payables position presents no immediate risk, but the minimal supplier engagement reinforces concerns about your commercial inactivity.

### 3.4 Working Capital Analysis

On a reported basis, Your working capital position appears exceptionally strong, but a detailed decomposition reveals significant structural distortions that require careful interpretation.

#### Reported figures:

| Indicator | FY2025 | FY2024 | ---|---| Working Capital | EUR 56,974.08 | EUR 55,939.53 | | Current Ratio | 14.5x | 3.18x | | Net Trade Position | EUR 6,922.60 | EUR 28,770.44 |

#### Key observations:

- The **current ratio of 14.5x** is extraordinarily high and is driven by the virtual elimination of short-term liabilities (EUR 4,219.08) rather than by robust current asset generation. This metric is misleading as a standalone indicator.
- **Working capital of EUR 56,974.08** is predominantly composed of other receivables (EUR 32,280.32) and trade receivables (EUR 9,250.00), both of which carry collection risk in the context of near-zero activity.
- **Cash of EUR 4,871.75** represents only 8.6% of total assets and is the only truly liquid component of working capital.
- The **Net Trade Position** has collapsed from EUR 28,770.44 to EUR 6,922.60 — not due to payables pressure but due to the absence of new billings.
- **Working capital quality is poor:** the headline figure is inflated by receivables of uncertain liquidity. If other receivables prove partially irrecoverable, working capital could deteriorate rapidly.

The structural risk is that reported working capital provides a false sense of financial comfort while the operational engine has stalled entirely.

### 3.5 Operational Efficiency Metrics

Operational Efficiency Score: 2.0/10 — Asset Turnover sub-score: 1/10 (AT=0.00x) | Receivables Intensity adj: +0.5 (RI=14.3%) | Payables Coverage adj: +0.5 (PC=0.25x) | Final: 2.0/10

Asset Turnover: 0.0x [CRITICAL] — Asset turnover of 0.00x indicates that each EUR of assets generates 0.00 EUR of gross margin (benchmark: >1.5x).



Receivables Intensity: 14.3% [GOOD] — Trade receivables represent 14.3% of total assets — a low concentration, indicating limited credit risk from receivables.

Payables Coverage: 0.252x [GOOD]

DSO: N/A — DSO cannot be reliably calculated — gross margin used as revenue proxy (32 EUR) is too low to produce an interpretable result (104,334 days computed). Restoring pricing will restore this ratio.

DPO: N/A — DPO cannot be reliably calculated — gross margin used as revenue proxy (32 EUR) is too low to produce an interpretable result (26,252 days computed).

Operating Cycle: N/C | CCC: N/C

#### Insights:

- DSO cannot be computed because gross margin is negative — revenue proxy is invalid. The company is operating at a loss before any receivable cycle measurement is meaningful.
- Payables coverage of 0.3x means the company is extending more credit to clients than it receives from suppliers — net trade creditor to the market. This is financially conservative but may be worth renegotiating with suppliers.
- Asset turnover is negative (0.00x) because gross margin is negative. This is a symptom of a fundamental pricing or cost problem, not an asset management issue per se.
- Cash Conversion Cycle cannot be computed (gross margin is non-positive). Restoring gross margin to positive territory is the prerequisite for all cycle-time analysis.

## 4. Financial Structure & Risk

Financial Structure & Risk. Section umbrella covering the balance-sheet composition, equity / leverage ratios, alarm-bell thresholds and the survival-runway scenario analysis.

### 4.1 Financial Structure & Risk

Your balance sheet structure is conservative by any standard measure, with equity financing representing 93.5% of total assets and zero long-term financial debt. However, this structure reflects your historical accumulation of retained earnings rather than active financial management.

#### Solvency indicators:

- **Equity ratio: 93.5%** (FY2024: 72.4%) — Improved mechanically as liabilities declined.
- **Debt ratio: 6.5%** — Extremely low; you carries virtually no financial risk from a creditor perspective.
- **Leverage (D/E): 0.07x** — Negligible financial leverage.
- **ROE: -10.9%** (FY2024: +5.2%) — The return on equity has turned sharply negative, eroding shareholder value.
- **ROA: -10.1%** (FY2024: +3.8%) — Asset base is no longer generating returns.

#### Key structural risks:

- **Equity erosion:** Retained earnings have declined from EUR 65,158.07 to EUR 58,583.07 — a reduction of EUR 6,575.00 corresponding precisely to the net loss. If losses continue at this pace, the equity base will be materially impaired within 2-3 fiscal years.
- **EBITDA:** EUR -8,031.85 + EUR 7,609.55 = approximately **EUR -422.30** — EBITDA is marginally negative, confirming that even before financing costs, the business does not generate sufficient gross margin to cover operating charges.
- **Zero CAPEX** signals either a deliberate asset-light strategy or an inability to invest, both of which have implications for future revenue capacity.
- **No financial debt** means there is no lender oversight, but also no access to structured credit facilities that could provide liquidity buffers in a recovery scenario.

The financial structure is sound but the operational model is not sustainable.

## 4.2 Scenario Analysis

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Three scenarios have been modelled based on the current cash position of EUR 4,871.75 and a baseline monthly burn rate of EUR 547.92.

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### Base Case — 8.9 months survival

- Assumes current burn rate remains constant with no change in revenue activity or cost structure.
- Monthly cash consumption of EUR 547.92 depletes available cash by approximately Q1 2026.
- This scenario assumes timely collection of remaining trade receivables and stability of other receivable balances.
- **Assessment:** Viable in the short term, but structurally unsustainable. Requires urgent revenue reactivation.

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### Best Case — 17.3 months survival

- Assumes accelerated collection of 50% of outstanding receivables (trade + potentially other receivables).
- If EUR 9,250.00 in trade receivables and a portion of other receivables are collected promptly, the available cash runway extends significantly.
- **Assessment:** Achievable if the nature of other receivables is liquid (e.g., VAT refunds, confirmed inter-company balances). Requires active collection management.

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### Worst Case — 3.3 months survival

- Assumes 30% of receivables default (write-off of approximately EUR 2,775.00 in trade receivables) combined with a 15% increase in operating costs.
- Survival runway shrinks to approximately 3.3 months — placing you in an acute liquidity crisis by mid-2025.
- **Assessment:** A realistic risk scenario given the current client concentration and near-zero revenue. Immediate contingency planning is warranted.

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**Critical observation:** All three scenarios assume no new revenue. The most impactful lever is therefore commercial reactivation, not cost reduction.

## 5. Decision Engine

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Decision Engine. Section umbrella covering the diagnostic insights, prioritised recommendations and the structured key questions that drive the decision agenda.

### 5.1 Key Insights

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The following structural findings summarise the critical issues identified through this diagnostic:

- 1. Revenue collapse is the primary risk driver.** A gross margin of EUR 32.36 in FY2025 versus EUR 14,628.71 in FY2024 indicates that you have essentially ceased trading. This is not a margin compression issue — you are a near-total revenue failure.
- 2. The balance sheet is strong but deteriorating.** Equity of EUR 60,583.07 and zero long-term debt provide a buffer, but retained earnings are being consumed by recurring losses. The equity cushion has a finite lifespan under current conditions.
- 3. Reported liquidity is misleading.** A current ratio of 14.5x and working capital of EUR 56,974.08 appear robust, but EUR 32,280.32 of "other receivables" — the largest single asset — lacks transparency regarding collectability and liquidity timing.
- 4. The tax debt settlement was a significant one-off cash drain.** The EUR 20,684.31 outflow in FY2025 for prior-year tax obligations materially distorted operating cash flow. This will not recur at this scale in FY2026, providing modest relief.
- 5. CAPEX at zero raises medium-term concerns.** With fixed assets declining from EUR 11,218.54 to EUR 3,608.99 through depreciation and no reinvestment, your operational infrastructure is being depleted without replacement.
- 6. The survival window is narrow.** At EUR 4,871.75 in cash and a burn rate of EUR 547.92/month, you have less than 9 months of autonomous runway under the base case — and potentially as few as 3.3 months under adverse conditions.
- 7. No financial debt means no structured lifeline.** The absence of credit facilities limits your ability to bridge a recovery phase without equity injection or asset liquidation.

### 5.2 Recommendations

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The following action plan is structured across three time horizons:

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#### Immediate (0–3 months) — Stabilise cash position

- **Clarify and stress-test other receivables (EUR 32,280.32):** Identify the nature, counterparties, and recoverability timeline of each component. Prioritise collection or conversion to cash where possible. This is the single most impactful short-term action.
- **Accelerate collection of trade receivables (EUR 9,250.00):** Implement active follow-up; consider offering early payment incentives if commercially appropriate.

- **Freeze all non-essential expenditure** and establish a weekly cash monitoring dashboard to track burn rate against available liquidity.
- **Engage a tax advisor** to confirm the EUR 1,891.68 remaining tax obligation and ensure no further hidden fiscal liabilities exist.

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### Short-term (3–6 months) — Reactivate revenue

- **Develop and execute a commercial reactivation plan** targeting existing client relationships and pipeline in the Turnhout construction market. Even modest project revenues would transform the financial outlook materially.
- **Assess the viability of the current business model:** if no commercial activity can be restarted, initiate a formal restructuring or voluntary dissolution process before equity is further depleted.
- **Explore targeted credit facilities** (e.g., a revolving credit line or confirmed factoring arrangement) to provide a liquidity buffer during the recovery phase. Belgian SME guarantee schemes (e.g., via PMV/Gigant) may be applicable.

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### Medium-term (6–18 months) — Rebuild sustainability

- **Reinvest in fixed assets (CAPEX)** once revenue stabilises, to restore operational capacity.
- **Establish a minimum cash reserve policy** (recommended: minimum 3 months of operating costs, approximately EUR 1,650.00 at current burn rate).
- **Formalise working capital KPIs** including DSO targets, cash conversion cycle monitoring, and monthly variance reporting against budget.
- **Consider a strategic review** of the BV structure, dividend policy, and retained earnings deployment to ensure the legal entity remains fit for purpose given the operational trajectory.

## 5.3 Key Questions for Management

Key Questions for Management (6 identified)

### IMMEDIATE :

#### #2 — Profitability

**Trigger** : EBITDA: -422 EUR

**Question** : EBITDA is negative — the business cannot cover operating costs from its core activity. Is there a fundamental business model issue?

**Context** : Negative EBITDA means the company's core opérations do not generate enough cash to cover even its operating expenses, before interest, tax, or depreciation. This is a red-flag signal suggesting the business model itself — not just its financing — may be unviable.

**Suggested Action** : Stress-test the business model: at what revenue level does EBITDA break even? Is that level achievable within the current pipeline? If not, consider strategic options including pivoting the service offering, reducing capacity, or seeking a restructuring plan.

## #5 — Strategy

**Trigger** : Equity declining YoY (67,158 EUR → 60,583 EUR) with net loss of -6,575 EUR

**Question** : If losses continue at this rate, when will equity be exhausted? Have you modelled the implications for business continuity?

**Context** : Declining equity combined with net losses creates a trajectory toward technical insolvency. Belgian law (Art. 7:228 CSA) requires the board to convene a special meeting when net assets fall below half of share capital — a threshold that may be approaching. Directors have a fiduciary duty to act before this threshold is breached.

**Suggested Action** : Model the equity exhaustion date under three scénarios: current burn rate, +20% loss, -20% loss. Assess whether the Art. 7:228 CSA threshold has already been triggered. If equity is at risk within 12 months, engage a legal and financial advisor immediately to prepare the required board documentation and explore remediation options.

## NEAR-TERM :

## #8 — Solvency

**Trigger** : Long-term debt: 0 EUR | Short-term debt: 4,219 EUR

**Question** : All your debt is short-term. Why have you not structured any long-term financing? This creates continuous refinancing pressure.

**Context** : A balance sheet with no long-term debt but significant short-term liabilities means all financing must be continuously rolled over. This is particularly dangerous for a company already showing liquidity pressure, as a lender refusing to renew could trigger an immediate cash crisis.

**Suggested Action** : Assess whether any of the short-term liabilities could be converted to long-term financing (e.g. bank term loan, shareholder loan formalised as long-term). Even a partial conversion (30–40% of current liabilities) would materially improve the liquidity profile. Prepare a business plan to present to a bank or alternative lender.

## #11 — Profitability

**Trigger** : Gross margin positive (32 EUR) but operating result negative (-8,032 EUR)

**Question** : Your projects are profitable, but your overheads are eliminating the profit. Which fixed cost lines are out of control?

**Context** : A positive gross margin that turns negative at the operating level indicates that the fixed cost base is disproportionate to the revenue scale of the business. This is a structural mismatch that typically requires either revenue growth or cost restructuring.

**Suggested Action** : Break down the overhead cost structure line by line. Identify the top three cost drivers above gross margin level and assess each for réduction potential. Consider whether the fixed cost structure is sized for a larger revenue base than currently achieved.

## #12 — Profitability

**Trigger** : Net result: -6,575 EUR (prev: 3,504 EUR)

**Question** : Why did profitability decline year-over-year? Is this a trend or a one-time event?

**Context** : A worsening net result in a second consecutive period signals that the détérioration is not an isolated event but a trajectory. For a young company in its second fiscal year, this is particularly significant as it affects the ability to build an equity buffer.

**Suggested Action** : Prepare a bridge analysis from prior year net result to current year, decomposing the variance by revenue, gross margin, overhead, and financial charges. Determine whether the decline is volume-driven, price-driven, or cost-driven.

## MONITOR :

### #14 — Efficiency

**Trigger** : Asset turnover: 0.00x (gross margin / total assets, threshold: 0.5x)

**Question** : Why are your assets generating so little revenue? Are there underutilised assets that could be divested or redeployed?

**Context** : An asset turnover below 0.5x means the company generates less than EUR 0.50 of gross margin per EUR 1 of assets. For a construction service company with few fixed assets, this implies that receivables or cash are tied up unproductively — possibly in slow-paying clients or idle réserves.

**Suggested Action** : Audit the composition of current assets: what proportion is trade receivables, and are they genuinely collectible? If receivables are large relative to active contracts, consider whether some should be written off. Review whether any cash holdings can be deployed to generate revenue (e.g. new contract bids).

*This report has been generated using AI-assisted financial analysis. All figures are sourced from official filings at the Centrale des Bilans (BNB). While every effort has been made to ensure accuracy, this report should be used as a diagnostic tool and does not constitute financial advice. All identifying data has been anonymized for privacy compliance.*